Lincoln WealthBuilder® IUL — Full Product Deep Dive

Swati Chugh | $5M Policy | Premium Financed | March 2026 | Prepared for Discussion

1. WHAT IS THIS PRODUCT EXACTLY?

Product	Lincoln WealthBuilder® Indexed Universal Life (IUL) — issued by The Lincoln National Life Insurance Company, Fort Wayne, IN
Structure	Permanent life insurance with a cash value component linked to a stock market index. NOT directly invested in the market — you get a portion of index gains, protected from losses.
Premiums	$266,675/yr for 10 years. In this illustration, 100% financed by a third-party lender — you pay $0 out of pocket. Total premiums: $2,666,750 (all borrowed).
Index Account	S&P; 500 Dynamic Intraday TCA 15 — 1 year point-to-point. Each year, the index gain is calculated. If positive, you get credited up to the CAP. If negative, you get 0% (the FLOOR protects you).
Cap / Floor	CURRENT cap: 13.5% (non-guaranteed, can change) | Floor: 0% (guaranteed — you never lose money due to market decline)
Illustrated rate	7.19% weighted average — this is the middle assumption used in the illustration. It is NOT guaranteed.
Loan structure	Lender charges 4.50%/yr on the borrowed premiums. Interest is also borrowed (not paid). The full loan ($5.24M) is repaid in Year 20 from the policy's own cash value.
Distributions	From Year 21 onward: $204,086/yr taken as policy loans (tax-free). Policy loans are NOT income — no tax due.
Death benefit	$5,000,000 initial, increasing with cash value for first 10 years, then level at ~$8.3M peak, net of loan ~$3M+ through distribution years.

2. THREE SCENARIOS: BEST CASE (13.5%) vs ASSUMED (7.19%) vs WORST CASE (0%)

BEST CASE — 13.5% Credited

The index hits or exceeds the cap every single year. At 13.5%/yr vs 7.19%, the policy accumulates roughly 2.5–3× more cash value over 20 years. • Distributions could be $400k–$500k/yr instead of $204k • Cash value at age 80 could reach $8M–$12M • Death benefit to heirs: $15M+ Likelihood: Possible in strong bull markets but unlikely to sustain every year.

ASSUMED — 7.19% Credited

The illustration's base case — weighted average return. Based on historical S&P; 500 TCA 15 index performance. • Distributions: $204,086/yr from age 64 • Cash value at age 80: $2,564,940 • Death benefit at age 80: $3,619,392 • Total distributions (ages 63–86): ~$9.9M Likelihood: Reasonable middle scenario based on historical data.

WORST CASE — 0% Credited

The market is flat or negative every single year. You receive 0% credit annually — the floor prevents losses but policy charges still deduct. • Policy LAPSES in Year 20 (illustration confirmed) • The loan balance ($5.24M) exceeds cash value • Lender is NOT fully repaid from policy • YOU may be personally liable for the shortfall • No distributions. No death benefit. Likelihood: Rare — requires 20 straight years of 0% or negative S&P; returns.

3. YEAR-BY-YEAR VALUES FROM ILLUSTRATION (pages 5, 6, 7 of document)

Phase A — Accumulation (Years 1–20, loan building, no distributions)

Year	Age	Lender Loan Balance	Policy Cash Value (gross)	Cash Value Net of Loan	Death Benefit Net of Loan
1	44	$279,216	**$239,849**	**($206,466)**	$5,470,784
5	48	$1,533,700	**$1,381,029**	**($306,771)**	$4,847,329
10	53	$3,463,560	**$3,326,633**	**($136,927)**	$4,863,073
12	55	**$3,796,967**	**$3,813,236**	**$16,269**	$4,529,666
15	58	**$4,358,208**	**$4,680,134**	**$321,926**	$3,968,425
19	62	**$5,237,646**	**$6,151,469**	**$913,823**	$3,088,987

20 ★	63	$0	**$1,348,332**	**$1,348,332**	$3,088,987

★ Year 20: The entire $5,237,646 lender loan is repaid IN FULL from the policy cash value via a policy loan. Net cash value drops to $1,348,332. From year 21 onward — no more lender, just the policy growing and distributing.

Phase B — Distribution (Years 21–50, $204,086/yr policy loans, tax-free)

Year	Age	Annual Distribution	Cumulative Distributions	Policy Cash Value (Net)	Death Benefit to Heirs
21	64	**$204,086**	$204,086	**$1,322,504**	$3,015,057
25	68	**$204,086**	$1,020,430	**$1,288,841**	$2,958,027
30	73	**$204,086**	$2,040,860	**$1,479,690**	$2,915,634
35	78	**$204,086**	$3,061,290	**$2,126,170**	$3,045,790
37 ←Age 80	80	**$204,086**	$3,469,462	**$2,564,940**	$3,619,392
40	83	**$204,086**	$4,081,720	**$3,473,105**	$4,766,676
43	86	**$204,086**	$4,693,978	**$4,739,521**	$6,323,876
50	93	—	$4,693,978	**$11,069,442**	$12,577,529

4. $5M POLICY vs $10M POLICY — SIDE BY SIDE

Metric	$5M Policy (Current)	$10M Policy (2× scale)
Annual premium (financed)	**$266,675/yr × 10 yrs**	**$533,350/yr × 10 yrs**
Total premiums borrowed	**$2,666,750**	**$5,333,500**
Loan balance at Year 19	**$5,237,646**	**~$10,475,292**
Policy cash value Yr 19 (gross)	**$6,151,469**	**~$12,302,938**
Net cash value after loan repaid (Yr 20)	**$1,348,332**	**~$2,696,664**
Death benefit at policy start	**$5,000,000**	**$10,000,000**
Death benefit (gross, yr 10)	**$8,326,633**	**~$16,653,266**
Annual distribution from Yr 21 (illustrated)	**$204,086/yr**	**~$408,172/yr**
Total distributions (ages 63–86)	**~$9,931,629**	**~$19,863,258**
Cash value at age 80 (yr 37)	**$2,564,940**	**~$5,129,880**
Death benefit at age 80	**$3,619,392**	**~$7,238,784**
Cash value at age 93 (yr 50)	**$11,069,442**	**~$22,138,884**
Death benefit at age 93	**$12,577,529**	**~$25,155,058**
Your total out of pocket	**$0**	**$0**

$10M policy values are illustrative 2× approximations. An actual $10M illustration from Lincoln Financial would reflect exact underwriting costs, MEC testing limits, and carrier-specific calculations. Request a formal illustration from your advisor before making decisions.

5. PROS & CONS

PROS
✓ $0 out of pocket — ever The entire premium ($2.67M) is borrowed. You never write a check. The lender's money grows your policy.
✓ Downside protection (0% floor) If the S&P; 500 crashes 30%, you get 0% credit — not -30%. Your cash value NEVER goes backward due to market losses.
✓ Tax-free distributions All distributions are structured as policy loans. Loans are not income. No W-2, no 1099, no capital gains.
✓ Tax-free death benefit $3M–$12M+ passes to your heirs completely income-tax-free. Structured in an ILIT, it can also be estate-tax-free.
✓ Upside participation up to 13.5% In strong years, you capture up to 13.5% growth. Historical S&P; 500 has exceeded this cap many years.
✓ Growing over time Cash value and death benefit grow dramatically after distributions end. At age 93, the policy is worth $11M+.
✓ Accelerated benefits rider If you're critically ill, terminally ill, or in a nursing home, you can access the death benefit early.

CONS & RISKS
✗ Worst case: policy lapse + debt liability If the market returns 0% for 20 consecutive years, the policy lapses. YOU may owe the shortfall between the loan balance and policy value. This is the #1 risk.
✗ Cap limits your upside The 13.5% cap (non-guaranteed) means if S&P; returns 25%, you get 13.5%. You miss the top of bull markets.
✗ 7.19% is NOT guaranteed The illustration assumes 7.19%/yr in every year. Real returns fluctuate. A decade of 3–4% credited returns would significantly reduce distributions.
✗ Loan interest rate risk The lender charges 4.50%. If rates rise significantly, the loan balance grows faster, eating into net policy value.
✗ Collateral requirements If the policy underperforms, the lender may require additional collateral from you — cash or other assets.
✗ Cap rate can change The 13.5% cap is not guaranteed. Lincoln can lower it. If it drops to 8%, the 7.19% assumed return is less likely to be achieved.
✗ Complexity & ongoing management This is not a 'set it and forget it' product. Annual reviews, collateral monitoring, and policy performance tracking are required.
✗ Not liquid in early years Surrender charges apply years 1–9. Early exit is expensive — you'd owe the loan AND lose surrender value.

6. WHAT YOU NEED TO WATCH / ASK FOR

1. Annual policy review	Request an updated in-force illustration every year. Compare actual credited rate vs. the 7.19% assumed. If actual is consistently 4–5%, your distribution projections need to be revised downward.
2. Monitor the cap rate	The current cap is 13.5% — but this is non-guaranteed. If Lincoln lowers it to say 9%, re-run the illustration. Ask your advisor: 'What is my distribution if the cap drops to 9%?'
3. Understand your collateral exposure	Ask your lender specifically: 'In what scenarios do you require additional collateral from me?' Get this in writing. Know exactly what assets you'd have to pledge if the policy underperforms.
4. Exit strategy clarity	Year 20 loan repayment only works if the policy has enough cash value. Ask: 'What is my minimum credited rate needed to fully repay the loan in Year 20?' (roughly 4.5–5% based on this illustration).
5. Interest rate sensitivity	The lender rate is 4.50% today. Ask: 'If the lender rate rises to 6% or 7%, how does that change the Year 20 loan balance?' A 2% rate increase over 19 years would add ~$1M+ to the loan balance.
6. Confirm non-MEC status	The illustration confirms this is NOT a Modified Endowment Contract (MEC). Verify this annually. If the policy ever becomes a MEC, all distributions become taxable income.
7. For the $10M policy	A $10M policy requires a new formal illustration, additional underwriting, and MEC limit verification. Annual premium would be ~$533,350. Confirm lender eligibility for the larger loan amount.

■ WORST CASE SCENARIO IN PLAIN ENGLISH: If the S&P; 500 index returns 0% or less every single year for 20 consecutive years, the policy lapses at Year 20. The lender is owed $5,237,646. The policy cash value may not fully cover this. You (or your estate) could be personally liable for the shortfall. There are NO distributions. NO death benefit. The lender still gets paid first. This scenario requires an unprecedented 20-year flat/negative market — but it is the risk you must understand and accept.

This analysis is derived from a Lincoln Financial illustration dated March 10, 2026. All values at 7.19% are from the illustration. Best case and $10M values are approximations for discussion only. Non-guaranteed elements may change. Not legal, tax, or investment advice. Consult your financial advisor, tax attorney, and lender before making any decisions.